

March FOMC: In the Right Place for Now

Special Commentary

Economist(s)



[Tom Porcelli](#)



[Sarah House](#)



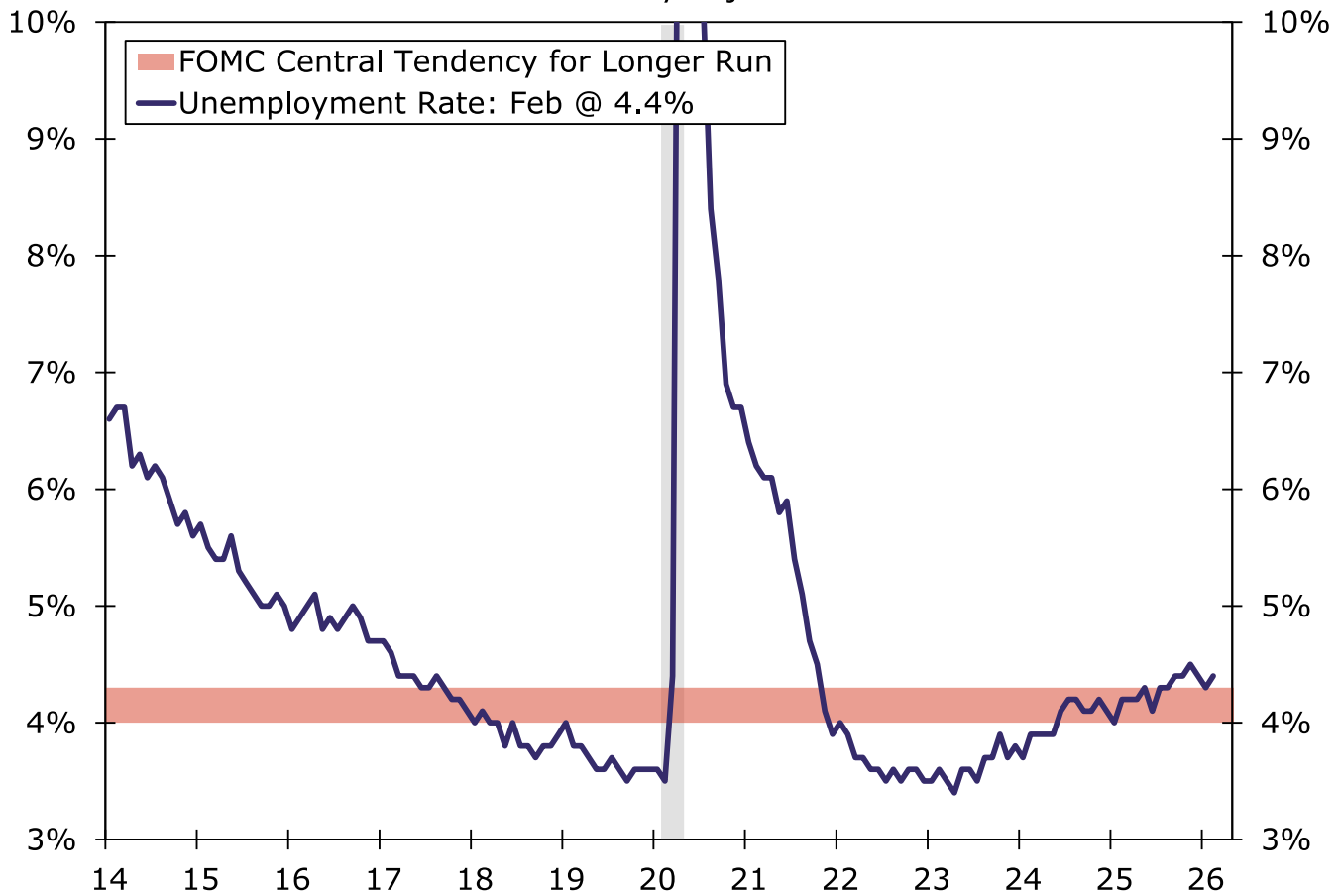
[Michael Pugliese](#)

- **Optionality maintained.** As expected, the FOMC left the fed funds rate unchanged at 3.50%-3.75% at its March meeting and was careful not to hint at the timing of future adjustments. The statement reaffirmed the FOMC's view of "solid" growth and inflation that "remains somewhat elevated," but signaled a little less confidence in the state of the labor market by noting that the unemployment rate "has been little changed" versus previously saying it has shown "some signs of stabilization."
- **Increased uncertainty was acknowledged head on in the statement and press conference.** There is no doubt in our minds that the spike in oil prices is inflationary over the near term, but this is a supply shock, which monetary policy is ill-equipped to solve. The Fed also has to grapple with the growth-sapping effects of higher oil prices that add a fresh challenge to the already-struggling labor market ([Figure 1](#)).
- **Participants seemed hesitant to incorporate looming stagflation risks into the SEP.** The median estimate for PCE inflation at year-end rose to 2.7% from 2.4% in December, less than what we were expecting with our own estimate tracking at 2.9%. The median core projection rose to 2.7%, perhaps reflecting some pass-through of higher energy costs, but more likely, in our view, stemming from the stubborn strength of recent readings that has left the index up 3.1% over the past year ([Figure 2](#)). Meantime, the median estimate for GDP this year was revised *up* a tenth and the median unemployment rate was unchanged. While this did not signal as much of a stagflationary shock as we expected, we note that participants flagged higher uncertainty around their estimates with risks skewed more toward higher inflation and unemployment than in the December SEP.
- **Wait-and-see mode kept the median view of rates this year unchanged.** The median estimate of the fed funds rate at year-end remained at 3.375%, implying one 25 bps cut in 2026, while the median dot for 2027 held at 3.125% ([Figure 3](#)). The continued bias toward easing reflects that most Fed officials still view policy as slightly restrictive, even as the median long-run estimate drifted up a tenth to 3.1%.
- **The Committee looks a little less divided.** No participants viewed a hike as appropriate this year, even as hawkish members have been voicing their concerns about inflation's prolonged overshoot from target these past five years. At the same time, Governor Waller voted in line with the Committee, making Governor Miran the lone dissenter. Yet even the lowest projection for the fed funds rate at year-end—presumably Governor Miran's—shifted up, and suggests less dispersion among members' view at present.
- **Two more cuts this year remain our base case.** We sympathize with the view that the labor market remains on a shaky footing. While the renewed inflation concerns generate risk to our call for the FOMC to cut again by June, we still look for two 25 bps cuts this year and acknowledge they just might end up coming a little later ([Figure 4](#)). The inflationary effects of higher oil prices become visible more quickly than does the damage they inflict on growth and the labor market. So long as long-term inflation expectations stay anchored, we believe the Fed could still move the fed funds rate further toward neutral in the second half of the year.
- **Reserve management purchases (RMPs) continue at their current \$40B monthly pace.** The Fed did not announce plans to reduce RMPs as we were expecting. Yet given the recent reduction in funding pressures, we suspect a slowdown to around a \$20-25B monthly pace has merely been delayed and is likely to be announced at the Fed's April meeting and begin mid-May.

Figure 1

U.S. Unemployment Rate

Seasonally Adjusted

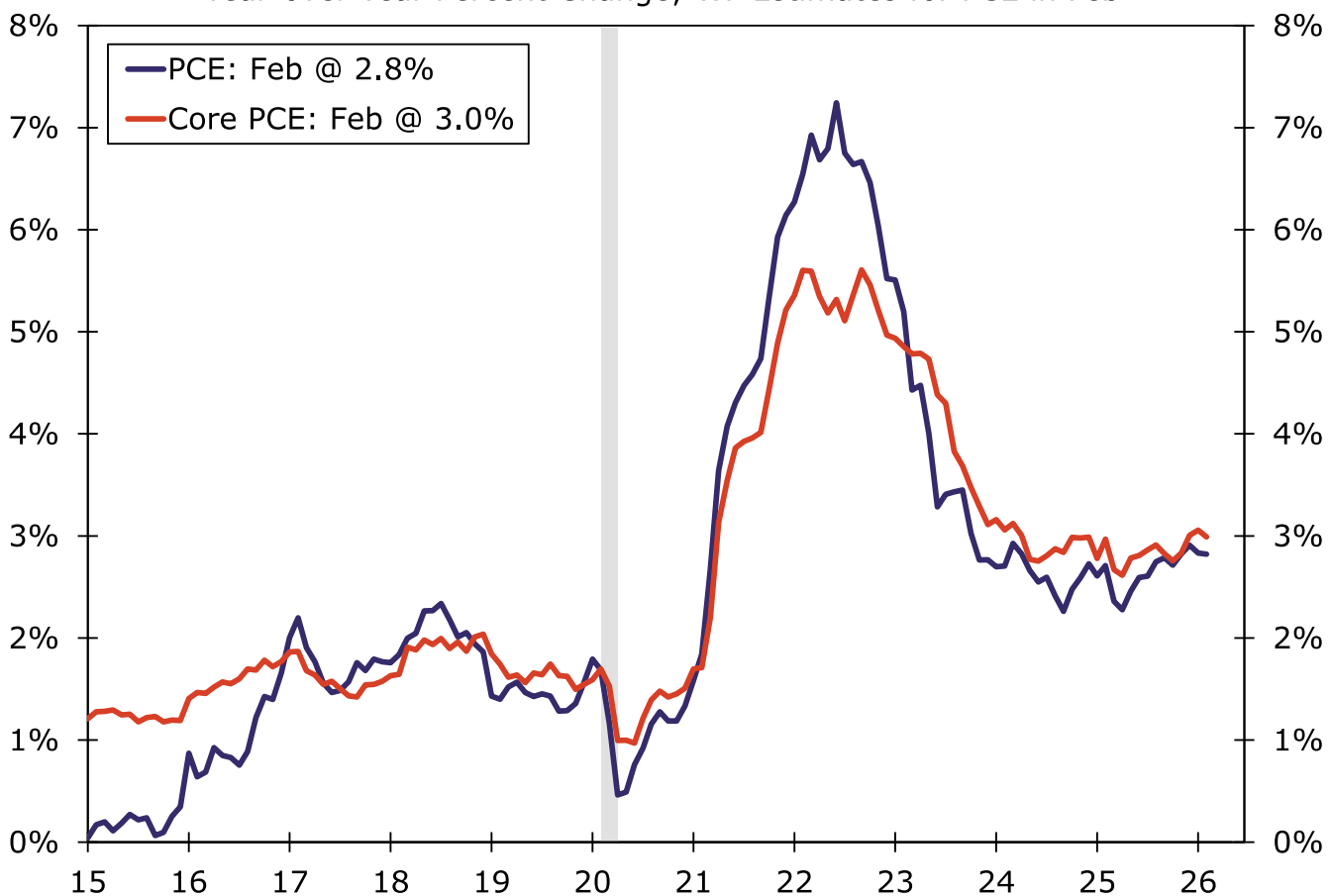


Source: U.S. Department of Labor and Wells Fargo Economics

Figure 2

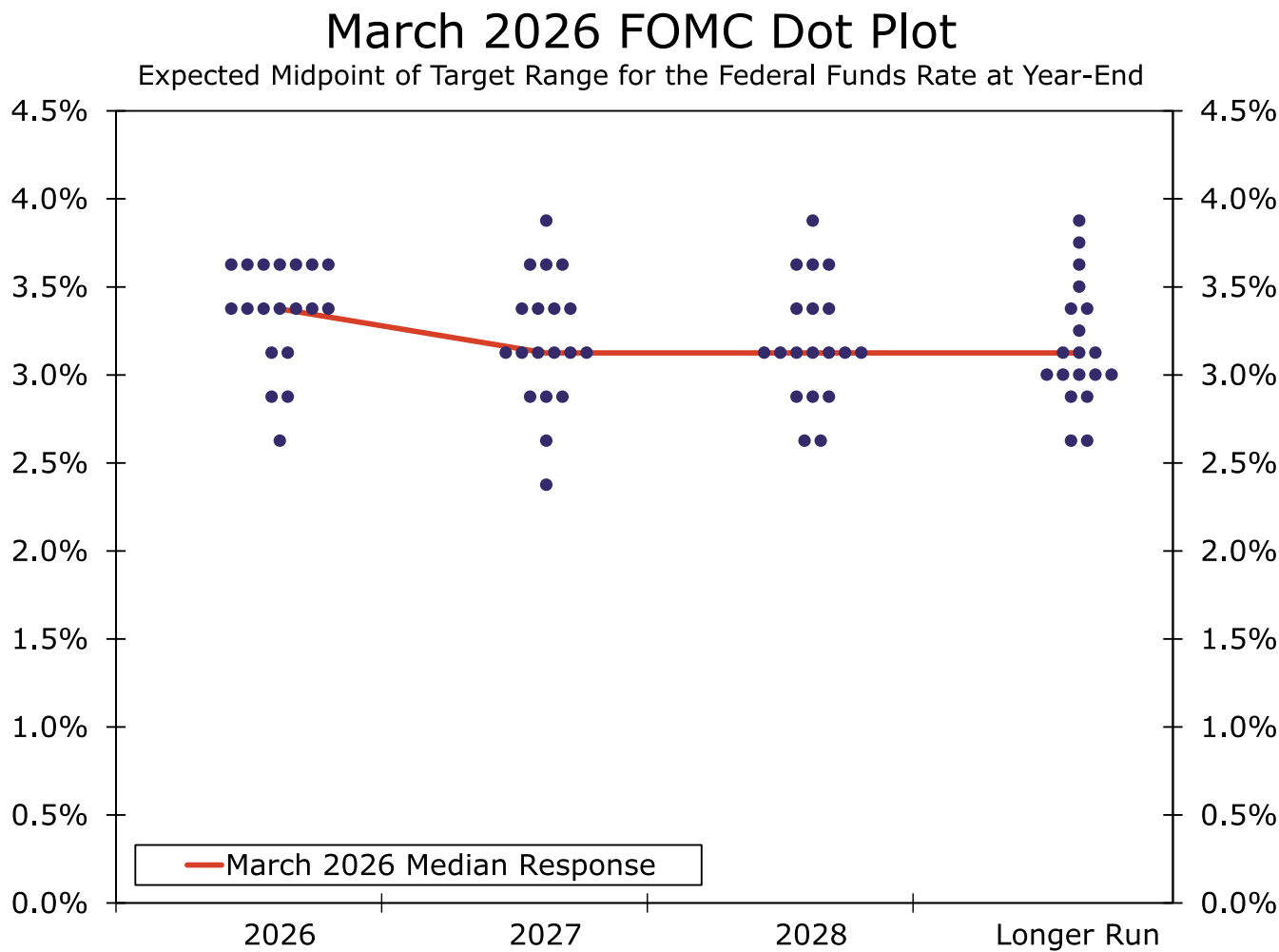
Inflation Still Stuck Around 3%

Year-over-Year Percent Change; WF Estimates for PCE in Feb



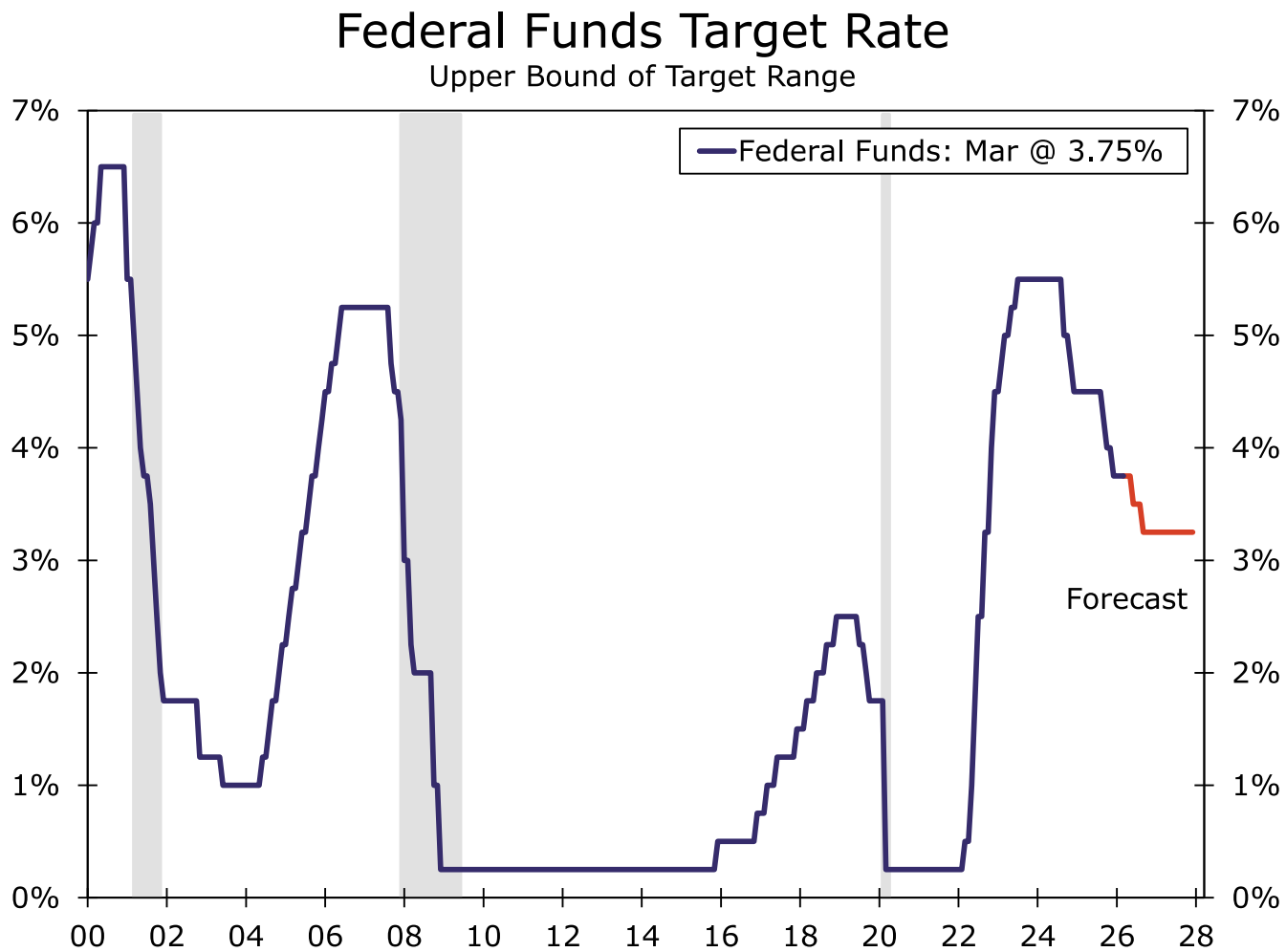
Source: U.S. Department of Commerce and Wells Fargo Economics

Figure 3



Source: Federal Reserve Board and Wells Fargo Economics

Figure 4



Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Aroop Chatterjee	Senior Economist	212-214-8819	Aroop.Chatterjee@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

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FOMC Preview: Powell's Job Not Getting Any Easier

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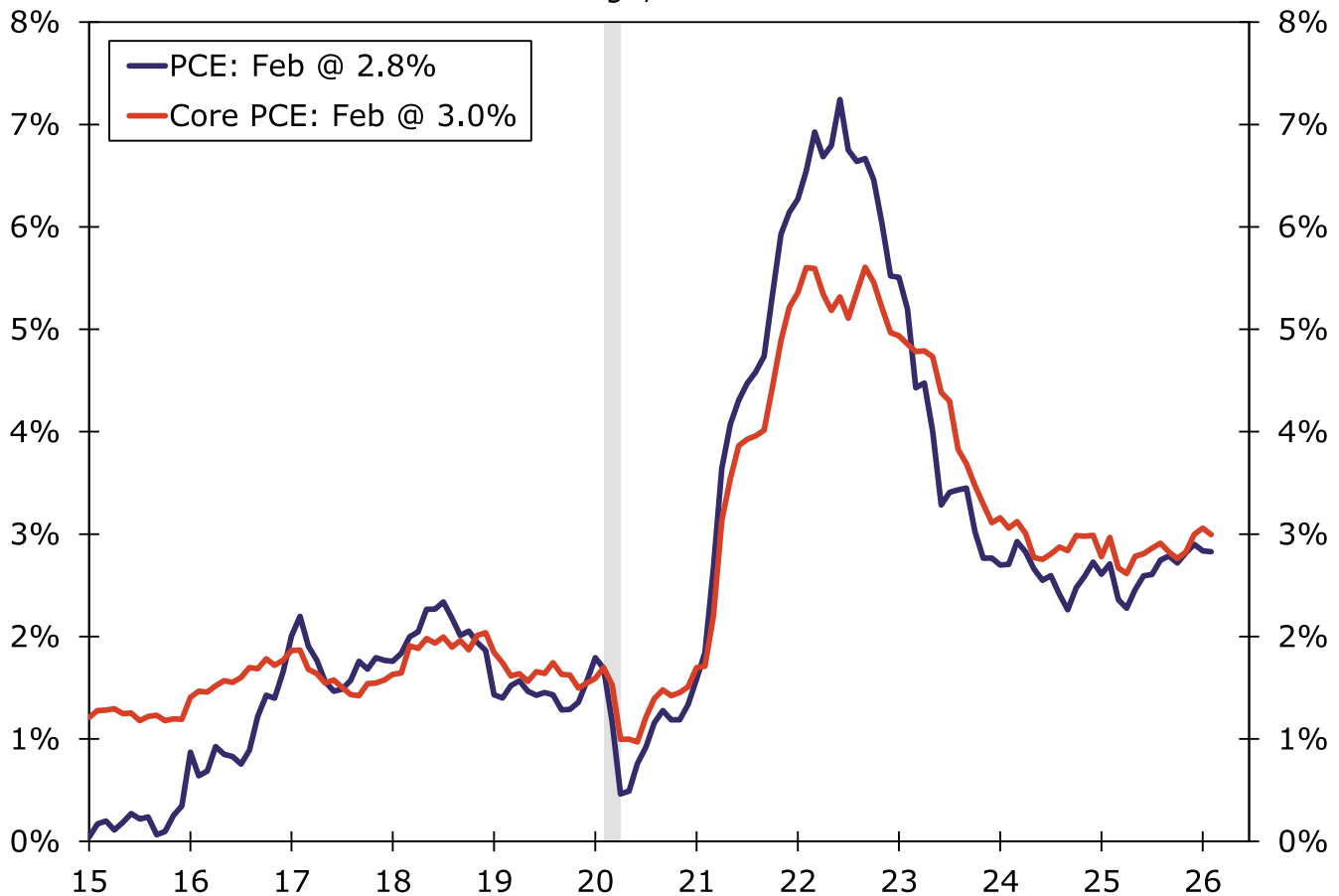


[Michael Pugliese](#)

- **Stagflation risks have risen since the FOMC last met in January.** Higher inflation and a weaker labor market is the FOMC's worst nightmare as it puts the dual mandate in tension. How will Chair Powell and company balance these risks?
- **We expect the FOMC to hold rates steady and maintain maximum flexibility.** It goes without saying the conflict in Iran has a highly uncertain outlook, with oil prices gyrating wildly in response to the uncertainty. Looking past the geopolitical whirlwind, key data from the monthly jobs report whipsawed over the inter-meeting period, with strong job gains and lower unemployment in January offset by a train wreck of a February jobs report. On net, labor market conditions appear little changed: lukewarm and still muddling along.
- **There has been no further progress toward 2% inflation over the inter-meeting period.** Recent data point to PCE inflation remaining stuck right around 3% ([chart](#)). The energy shock will strengthen headline inflation and have a small pass-through to core but also crimp economic growth.
- **Fed speak has been mixed.** Governors Miran and Waller are likely unconvinced that the labor market is stabilizing and probably want to "look through" the supply-side oil shock—a view for which we have plenty of sympathy. But, with inflation entering its sixth year and counting above 2%, there are signs some of the Committee's hawks are digging in amid yet another inflationary shock.
- **The post-meeting statement probably won't change dramatically.** We expect it to highlight additional uncertainty in the outlook due to the Iran conflict. We also would not be surprised if the language around "some signs of stabilization" in unemployment is tweaked to be a bit more pessimistic.
- **The SEP will shift in a stagflationary direction:** We expect the FOMC's inflation projections to be revised up, in part due to higher energy prices and in part due to recent strength in some core PCE components. The slightly stickier picture of inflation is likely to carry through to 2027 and keep the anticipated return to 2.0% two years away. GDP projections for 2026 are likely to be lower but still consistent with above-trend growth. Median estimates for the unemployment rate are likely to edge up as the low hire/low fire environment drags on. Our point estimates for the March SEP can be found in the [table](#) on the next page.
- **"First, do no harm" keeps median dots unchanged.** It would take two dots moving down to drop the 2026 median from 3.375% to 3.125% and three moving higher to shift the median projection up to 3.625%. With estimates for inflation drifting up but growth projections shifting down, we think the net impact will be no change to the median dots. From a balance of risks standpoint, our hearts lie with a downside surprise in the dots. Yet our heads think it will be very difficult for the dots to surprise in the dovish direction as inflation worries escalate, even if it is a supply shock that monetary policy is poorly equipped to solve. Our own forecast remains for two 25 bps rate cuts in June and September.
- **We expect the Fed to slow reserve management purchases to a \$20-\$25 billion/month pace.** This would be a slowdown from the current \$40 b/mo pace and has been well-telegraphed by Fed officials. The downshift is in response to funding markets returning to a more stable equilibrium ([chart](#)). Since the Fed has been buying exclusively Treasury bills, this should not have a material impact on longer-term interest rates.

Inflation Still Stuck Around 3%

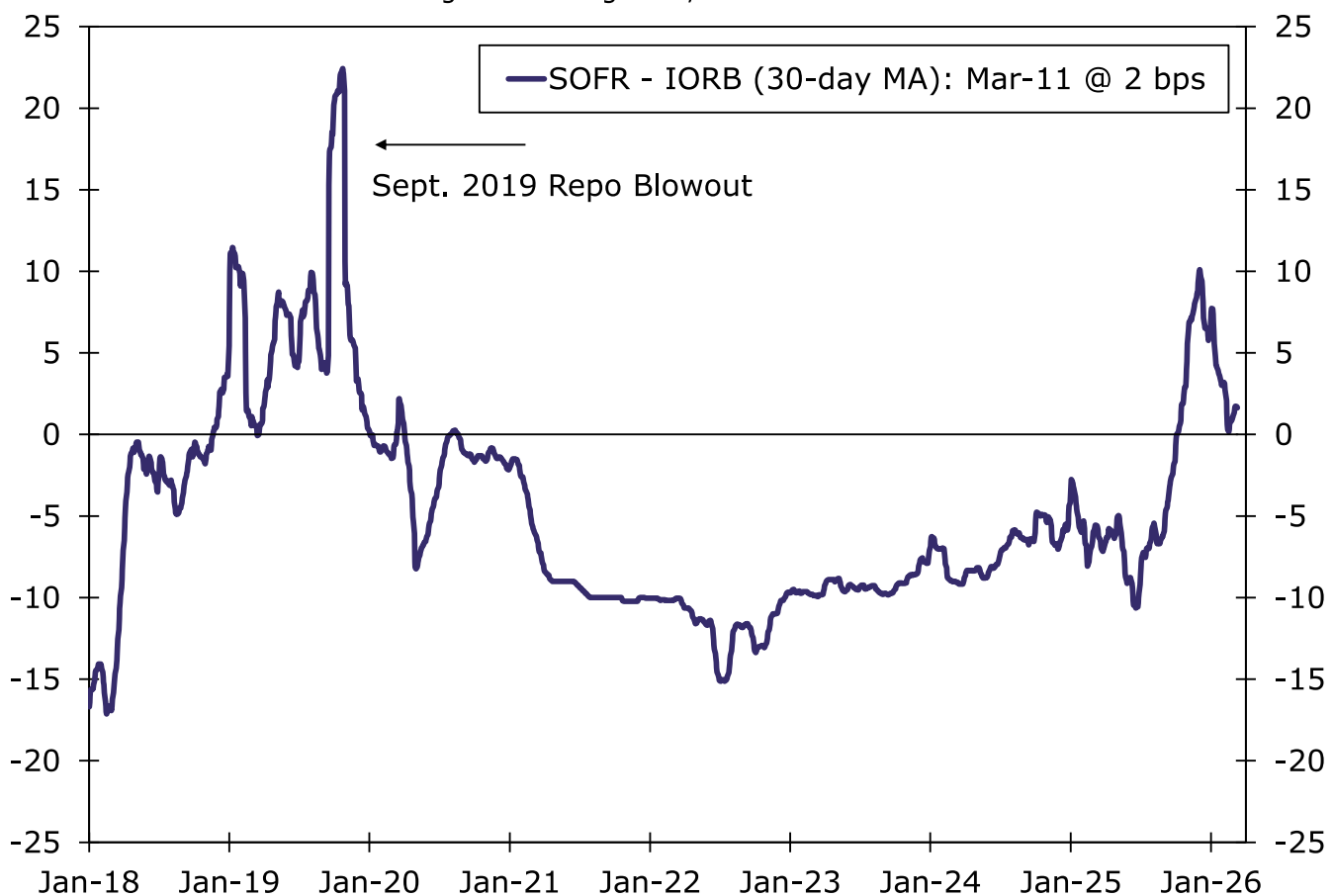
Year-over-Year Percent Change; WF Estimates for PCE in Jan-Feb



Source: U.S. Department of Commerce and Wells Fargo Economics

SOFR / IORB Spread

SOFR=Secured Overnight Financing Rate; IORB=Interest on Reserve Balances



Wells Fargo's Expectations for the SEP					
Median Projection in the FOMC'S Summary of Economic Projections					
		2026	2027	2028	Longer run
Change in Real GDP	March Projection	2.1	2.0	1.9	1.8
	December Actual	2.3	2.0	1.9	1.8
Unemployment Rate	March Projection	4.5	4.3	4.2	4.2
	December Actual	4.4	4.2	4.2	4.2
PCE Inflation	March Projection	2.9	2.2	2.0	2.0
	December Actual	2.4	2.1	2.0	2.0
Core PCE Inflation	March Projection	2.7	2.2	2.0	—
	December Actual	2.6	2.1	2.0	—
Federal Funds Rate	March Projection	3.375	3.125	3.125	3.000
	December Actual	3.375	3.125	3.125	3.000

Forecast as of: March 12, 2026

Source: Federal Reserve Board and Wells Fargo Economics

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
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Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

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Energy Prices & Economic Growth:

The Difference Between Now and Then

Special Commentary

Economist(s)



[Tom Porcelli](#)



[Tim Quinlan](#)



[Shannon Grein](#)



[Nicole Cervi](#)

Between our [FAQ with the team](#) and our note on what it would take to have a [serious conversation about recession](#), we have tossed a lot at you over the last week related to the conflict with Iran. Let us provide just a bit more context around some of the numbers we've been talking about.

The reality is the U.S. economy is less sensitive to higher energy prices than it once was. In the note we penned on recession risks we referenced our model simulations that suggest a sustained 50% rise in oil prices would reduce the average annual growth rate of real personal consumption expenditures (PCE) by around one percentage point. But consider this. **We estimate that same 50% sustained rise in prices would have had about twice the effect back in the 1980s, lopping off around two percentage points off PCE growth.** In other words, back then, talk of recession would already be gathering steam, all else equal.

The country was highly energy-sensitive then, heavily reliant on imported oil and far more exposed to sudden increases in energy costs. Higher prices translated quickly into weaker real income growth, reduced consumption and slower top-line economic activity.

Things are different today. For starters, we are far more energy efficient. Back in the 1980s new cars averaged about 20mpg compared to today's 32mpg ([Figure 1](#)). Second, Households are earning more too; gasoline and even broader energy-related purchases make up a smaller share of household spending today than they once did ([Figure 2](#)). And third, the U.S. also produces more domestically meaning it is less reliant on foreign supply ([Figure 3](#)).

The bottom line is that improvements in energy efficiency, a smaller energy footprint (relative to output) and the broader U.S. transition from being a net energy importer to a net energy exporter have together reduced the direct drag on growth and particularly consumption from oil and gas price shocks.

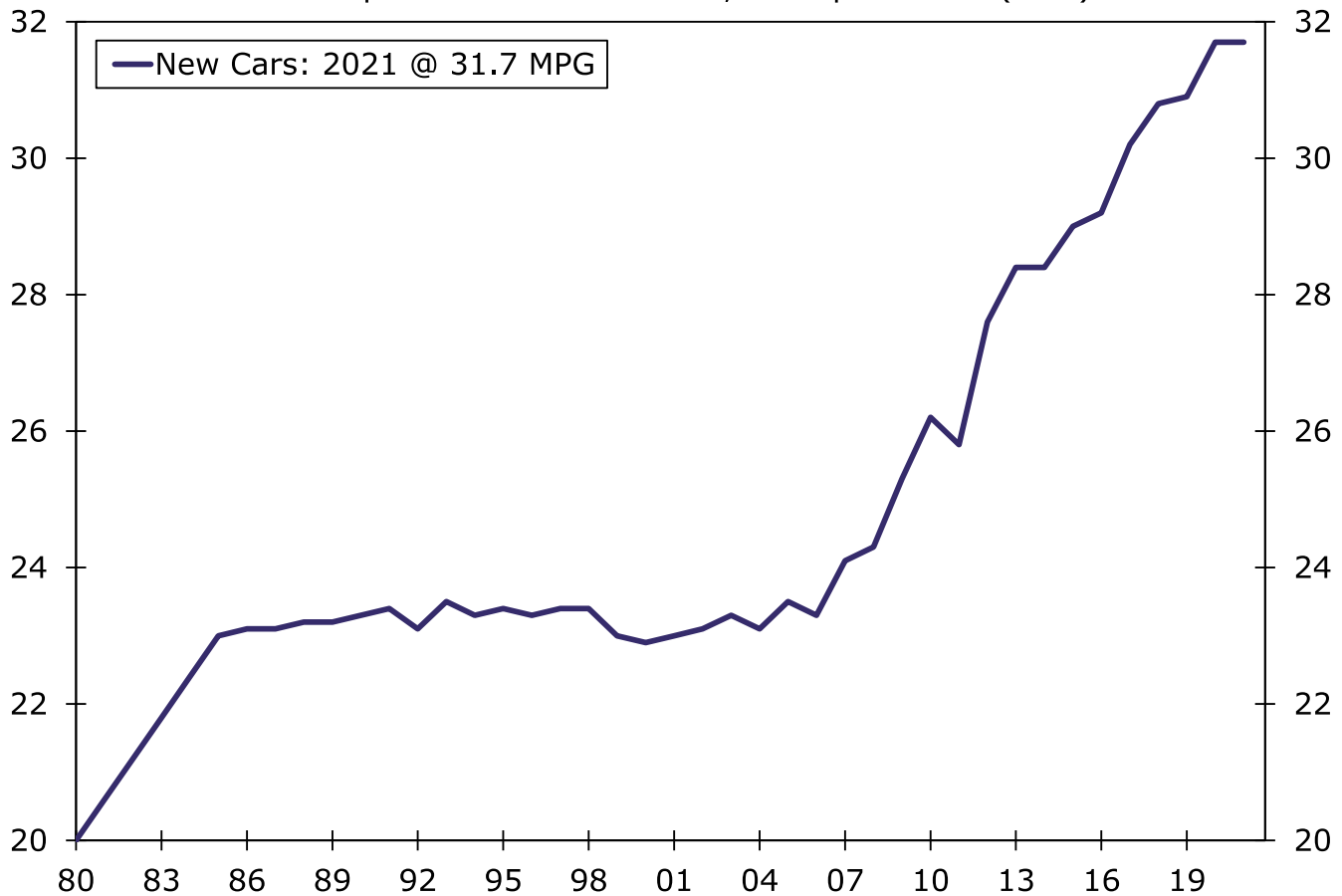
That does not mean higher prices today are painless. Energy demand remains relatively inelastic in the short run, and lower-income households remain disproportionately exposed. We've [marked down](#) our real PCE growth forecast as a result of the recent move higher in prices.

It seems prudent to again state the obvious here that this still remains an incredibly fluid situation, but at the aggregate level, the effect of higher energy prices is more likely to show up as slower consumption growth, rather than the abrupt retrenchment that characterized past oil shocks. But let's see where this goes.

Figure 1

U.S. Production-Weighted Fuel Economy

New Imported & Domestic Cars; Miles per Gallon (MPG)



Source: U.S. Department of Transportation and Wells Fargo Economics

Figure 2

U.S. Energy-Related Consumer Spending

Share of Total Personal Consumption Expenditures (PCE)

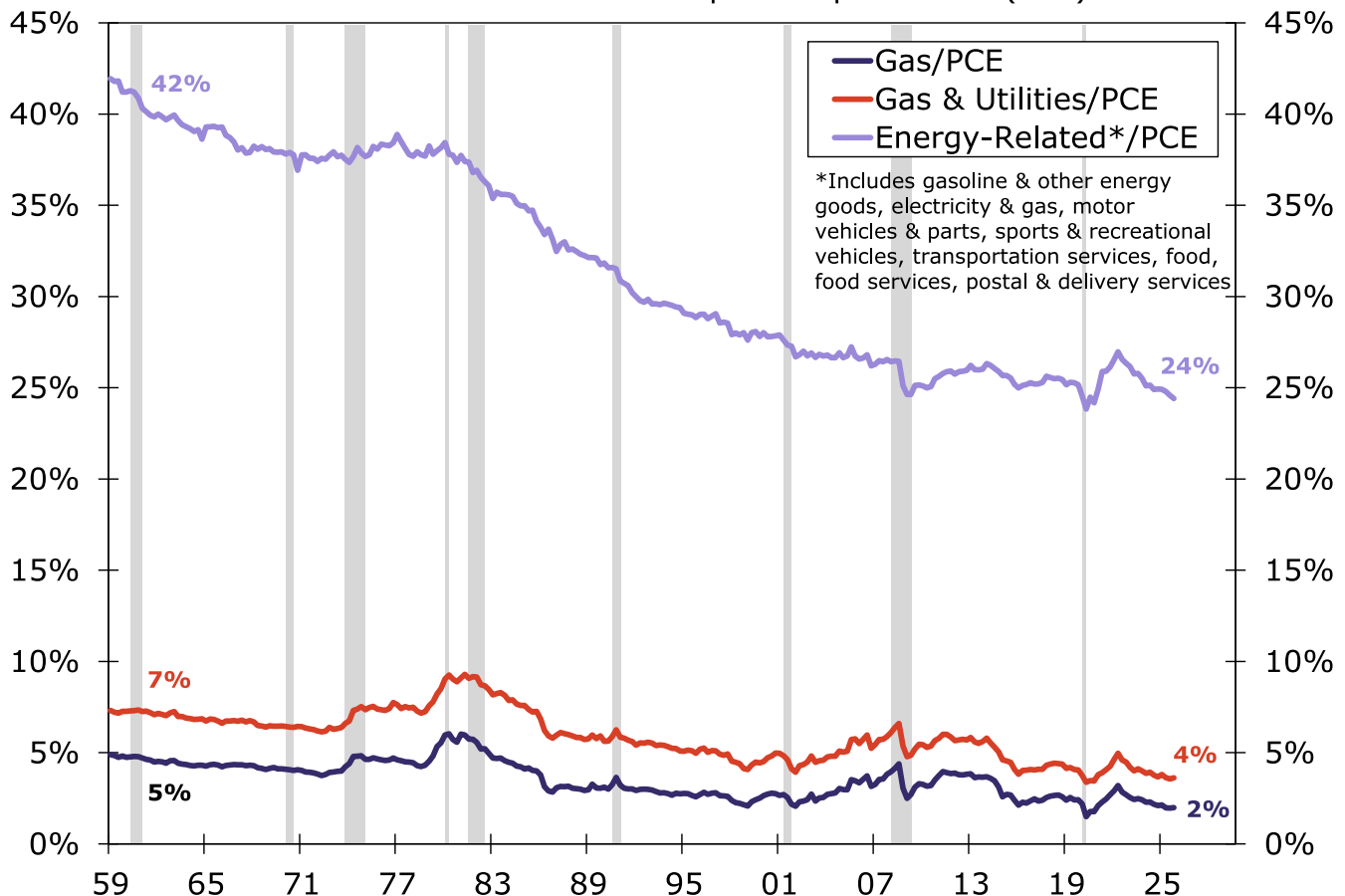
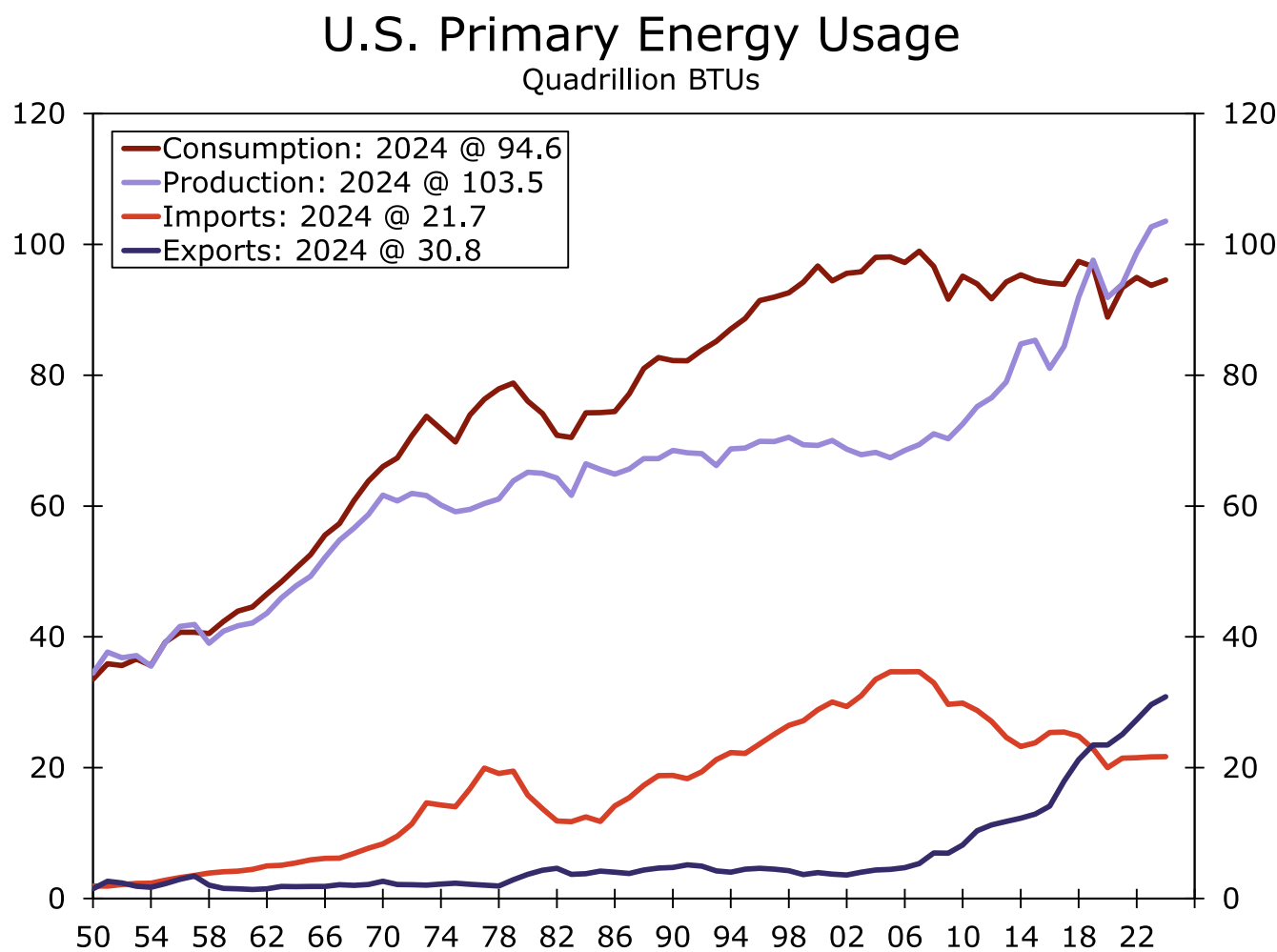


Figure 3



Source: Energy Information Administration and Wells Fargo Economics

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Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
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Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
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Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

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